

CHAPTER 4

ENTREPRENEURIAL SKILLS - II

INFORMATION TECHNOLOGY (402)
ARTIFICIAL INTELLIGENCE (417)

L - 2

Importance of Entrepreneurs

Entrepreneurs play a vital role in the economy through the following ways:

- **Free Market Evolution:** They respond to changing customer preferences and market trends, creating services that meet current demands, like home delivery for groceries and other products.
- **Efficiency Improvements:** Entrepreneurs enhance existing businesses by innovating and introducing new technologies, allowing them to adapt and thrive during economic shifts.
- **New Markets:** They redefine industries by creating new markets for existing products and making minor innovations to meet the needs of new target audiences.
- **New Values:** Some entrepreneurs prioritize ethics over profit, offering transparent and fair products. For example, Jaipur Rugs ensures artisans receive a fair share of profit while promoting their craftsmanship.

Myths about Entrepreneurship

Entrepreneurship involves identifying market opportunities and creating value.

Common myths include:

- Starting a Business is Easy: In reality, launching a successful business is challenging, with a high failure rate, although small businesses can be easier to start.
- Need Lots of Money: Successful entrepreneurs often begin with minimal cash.
- Cannot Finance Startups: Schemes like MUDRA allow entrepreneurs to secure bank loans.
- Talent Over Industry: The chosen industry significantly impacts a business's success.
- Most Startups are Successful: Many startups, especially in developing countries, fail to achieve profitability.

Advantages of Entrepreneurship

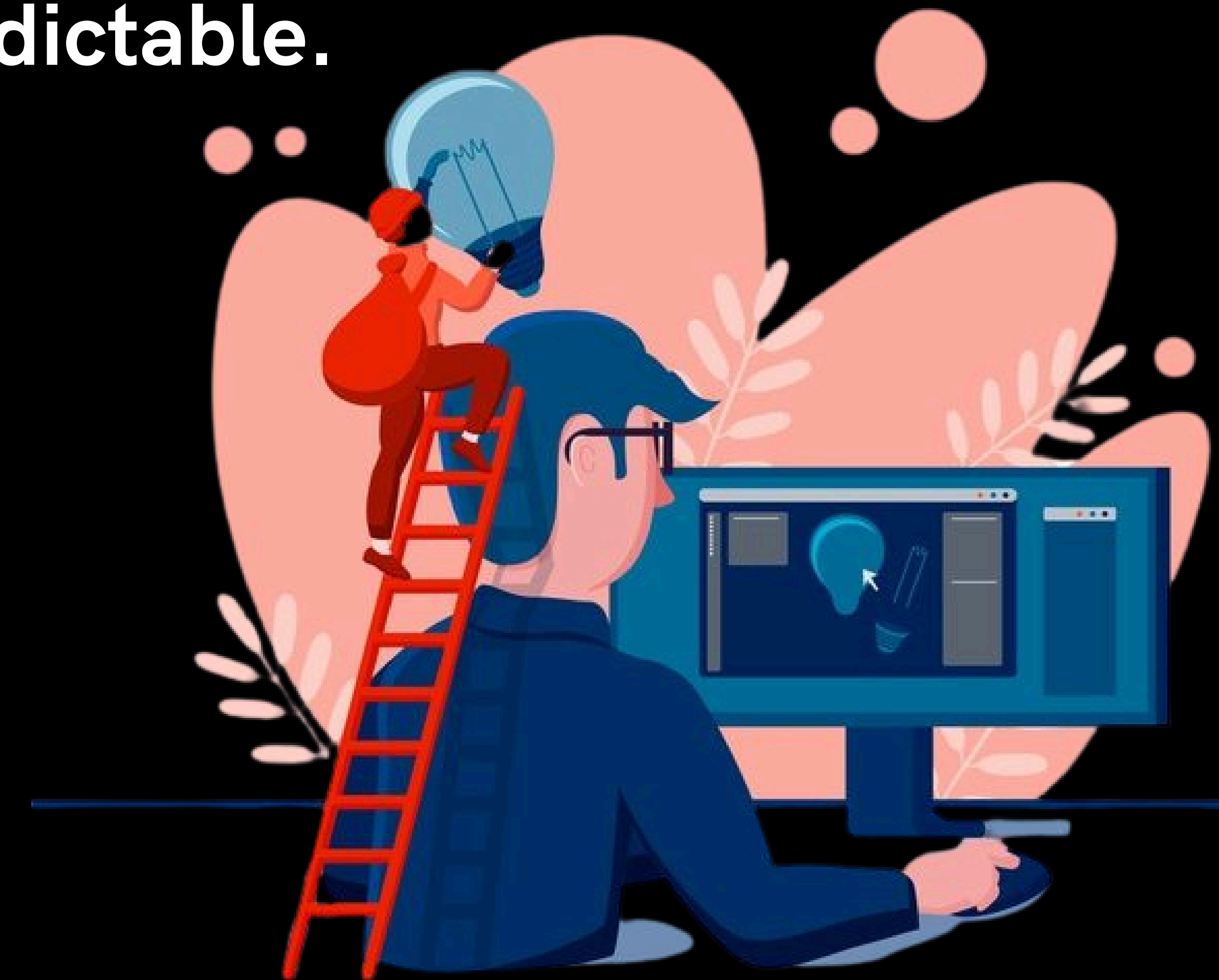
The key benefits of entrepreneurship include:

- Independence: Entrepreneurs are their own bosses and make decisions independently.
- Excitement: Entrepreneurship can be thrilling, offering new challenges every day.
- Wealth Creation: It focuses on generating wealth through goods and services, leading to new markets and improved products.
- Flexibility: Entrepreneurs can manage their work schedules around personal commitments, allowing for quality family time.
- Status: Success in entrepreneurship brings fame and prestige.
- Ambition Fulfillment: It allows individuals to turn their ambitions into original products or services.

Disadvantages of Entrepreneurship

Entrepreneurship has several disadvantages, including:

- **Time Commitment:** Running a business requires a significant amount of time and dedication.
- **High Risk:** There is a substantial risk of losing personal savings if the business fails.
- **Intense Workload:** Entrepreneurs must work hard to achieve success.
- **Uncertain Income:** Income is often irregular and unpredictable.
- **Staff Challenges:** New entrepreneurs may struggle to hire qualified staff, leading to potential incompetency.



Entrepreneurship as a Career Option

Many young people view entrepreneurship as an improbable career and may not realize that starting their own business is an option. Some are aware of this path but never consider it due to a belief that they are meant to work for large companies. While employment in organizations is valid, it is essential for youth to know they can choose to be either job creators or job seekers. Understanding the benefits of entrepreneurship is crucial once this awareness is established.



Entrepreneurship as a Career Option

1. Nurtures Entrepreneurial Skills

Entrepreneurship fosters unique skills and encourages creative thinking. It builds confidence, creates opportunities, and stimulates the economy. Education in entrepreneurship equips individuals with knowledge in core business areas like marketing, finance, and management, while also developing skills such as effective communication and creative problem solving.

2. Enables an Entrepreneurial Mindset

An entrepreneurial mindset is valuable beyond starting a business; it applies across various fields. Today's top employability skills closely align with entrepreneurial skills, making those who study entrepreneurship well-suited for many careers.

Entrepreneurship as a Career Option

3. Develops the Ability to Handle Failure and Ambiguity

In Indian culture, failure is often seen negatively from childhood. However, learning from failure is crucial in entrepreneurship, as it encourages a positive perspective and motivation to pursue goals. Additionally, business is filled with ambiguity, and tackling this uncertainty fosters important traits like risk management, perseverance, and persistence.

4. Enhances Critical Thinking and Problem-Solving Skills

Critical thinking and problem-solving are vital for success in business, yet they're often underemphasized in school. Studying entrepreneurship exposes individuals to situations that require analyzing alternatives and developing solutions.

5. Provides Early Real-World Exposure

Professional success involves collaboration, creativity, and skill. Early entrepreneurship practice allows for real-life experiences, such as interacting with customers, developing ideas, preparing documents, and working with investors, which enhances understanding of real-world trends and needs.

6. Inspires Different Career Thinking

Many students overlook the possibility of pursuing business ideas or entrepreneurial projects, typically following a linear career path from high school to college to job searching. Introducing entrepreneurship early on can broaden their perspective on career options and encourage them to explore their passions.

Entrepreneurship as a Career Option

7. Leads to Creating Difference in Society.

Entrepreneurs economically impact society by identifying and solving real problems. Learning entrepreneurship fosters the ability to find these issues, create solutions, and contribute to making the world a better place.



Questions

[QUESTION] is a set of activities performed by the entrepreneur.

[QUESTION] Name the scheme, with the help entrepreneurs can raise loans from banks.

[QUESTION] There is no income available to an entrepreneur.

[QUESTION] For the educated youngsters have two career options. Name them.

THANK - YOU

